



Amazon.com

NASDAQ : \$2657.4B mkt cap · 10.73B sh · \$123B cash, \$68.4B debt · \$123B cash vs ~\$54B net cash after lease/debt; ~10.73B shares; no dividend, capital is plowed into capex not buyback; Revenue \$716.9B FY25 (+12%); GAAP op margin 11.2% (record); FCF crushed to ~\$7.7B (~1%) by the ~\$200B AI capex surge; ~\$238.55, +14% TTM, down ~10% over 30 days on capex fears; 52-wk range \$196-\$279

Mature- Company DCF

\$247.55

THE CENTRAL QUESTION

Does Amazon's ~\$200B/yr AI-infrastructure capex earn its cost of capital as AWS reaccelerates — or compress returns into an overbuild before FCF recovers off the FY25 trough?

Amazon trades at ~\$2.56T (~\$238.55, +14% TTM, down ~10% in 30 days on capex fear) - but the FCF multiple is distorted: FY25 free cash flow was crushed to ~\$7.7B (from ~\$33B in FY24) by a ~\$200B AI-data-center build. The DCF models FCF margin recovering off that trough as AWS reaccelerates (+28%) and retail/ads margins expand. The finding is roughly fair (~6.9%): the modal base ~-12% as depreciation lags monetization, a wide spread either way.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$222.01 expected fair value today  
-10.3% vs spot \$247.55

FORWARD COMPOUNDED VALUE

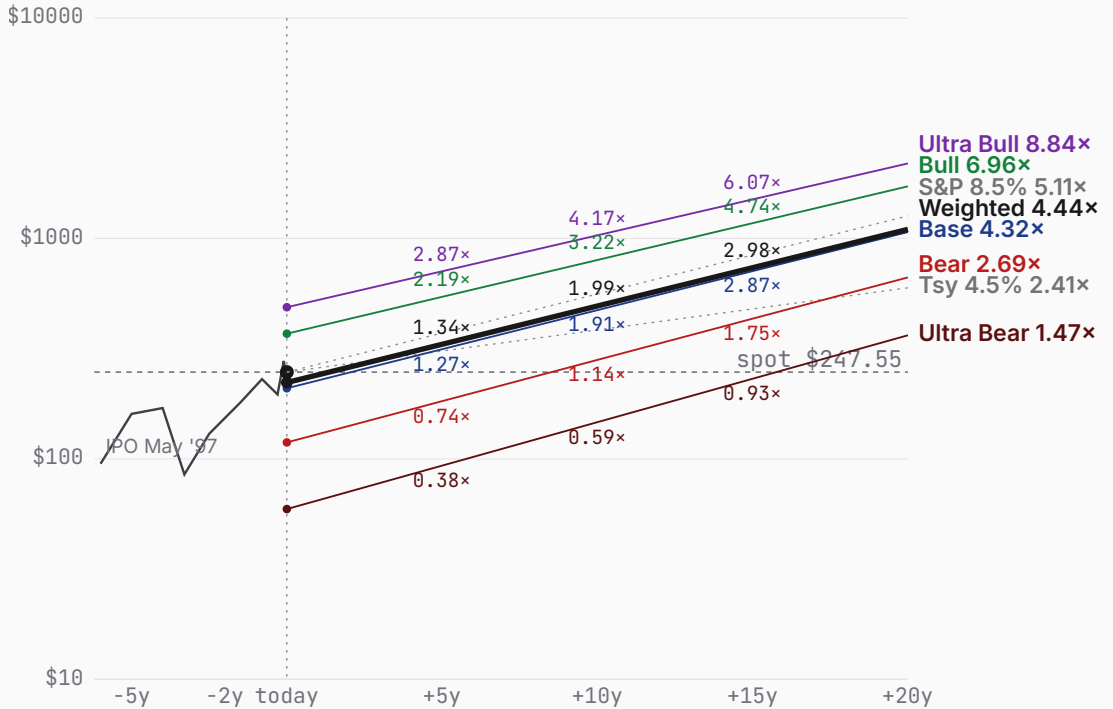
| +5y        | +10y       | +15y       | +20y       |
|------------|------------|------------|------------|
| \$331.00   | \$493.71   | \$736.73   | \$1,099.87 |
| 1.34x spot | 1.99x spot | 2.98x spot | 4.44x spot |

WEIGHTING RATIONALE

- Ultra Bear 12% AI overbuild; FCF stays trough-bound; ~\$59 (-75%).
- Bear 26% AWS holds but FCF recovers slowly; ~\$119 (-50%).
- Base 34% AWS reaccelerates; FCF normalizes to ~11%; ~\$209 (-12%).
- Bull 20% AI ROIC compounds; margin re-rates; ~\$370 (+55%).
- Ultra Bull 8% AWS AI platform; full re-rate; ~\$487 (+104%).

Bull (20%) + Ultra Bull (8%) together contribute \$112.94 — 51% of the \$222.01 expected value despite 28% combined probability. Today's spot (\$247.55) sits 12% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



| ULTRA BEAR                                  | \$59.20        | BEAR                                        | \$118.75       | BASE                                          | \$209.08       | BULL                                          | \$369.75       | ULTRA BULL                                   | \$487.39       |
|---------------------------------------------|----------------|---------------------------------------------|----------------|-----------------------------------------------|----------------|-----------------------------------------------|----------------|----------------------------------------------|----------------|
|                                             | -76.1% vs spot |                                             | -52.0% vs spot |                                               | -15.5% vs spot |                                               | +49.4% vs spot |                                              | +96.9% vs spot |
| CAGR +6.8% WACC 9.5%<br>CAGR +6.8% Prob 12% |                | CAGR +9.6% WACC 9.0%<br>CAGR +9.6% Prob 26% |                | CAGR +11.6% WACC 8.5%<br>CAGR +11.6% Prob 34% |                | CAGR +14.2% WACC 8.0%<br>CAGR +14.2% Prob 20% |                | CAGR +16.2% WACC 7.8%<br>CAGR +16.2% Prob 8% |                |
| AI overbuild; FCF stays trough-bound.       |                | AWS holds; FCF recovers slowly.             |                | AWS reaccelerates; FCF normalizes to ~11%.    |                | AI ROIC compounds; margin re-rates.           |                | AWS AI platform; full re-rate.               |                |

PROBABILITY WEIGHTS

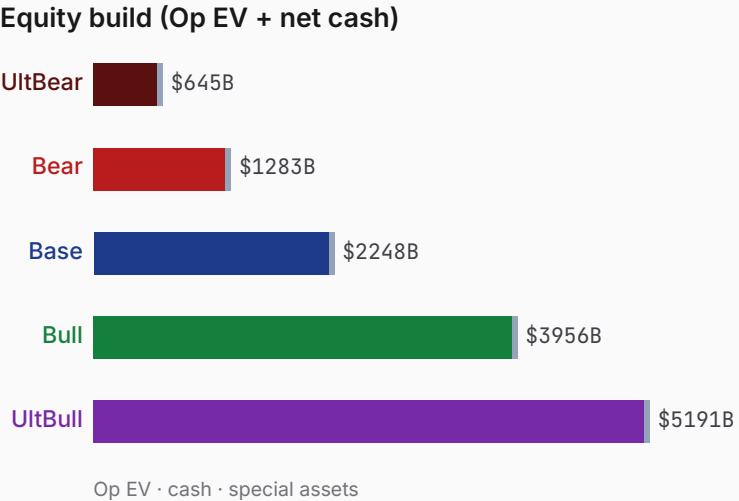
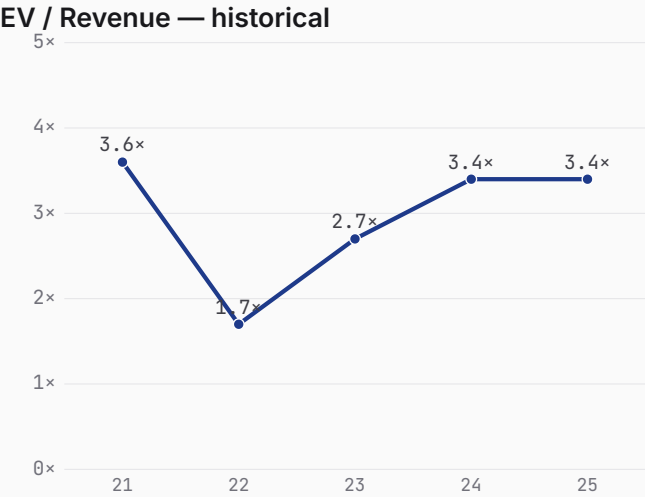
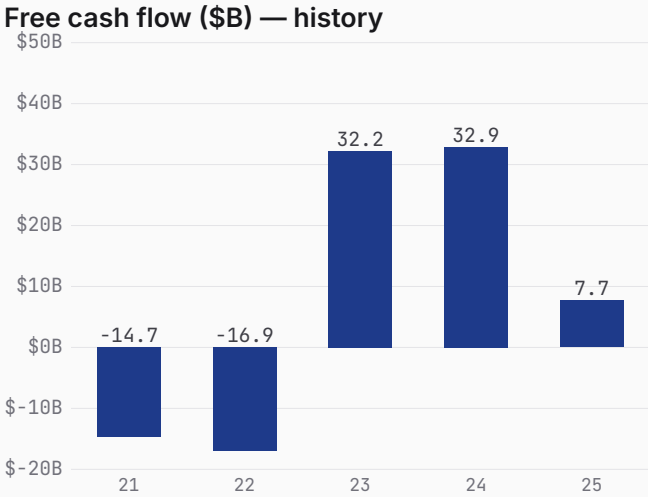
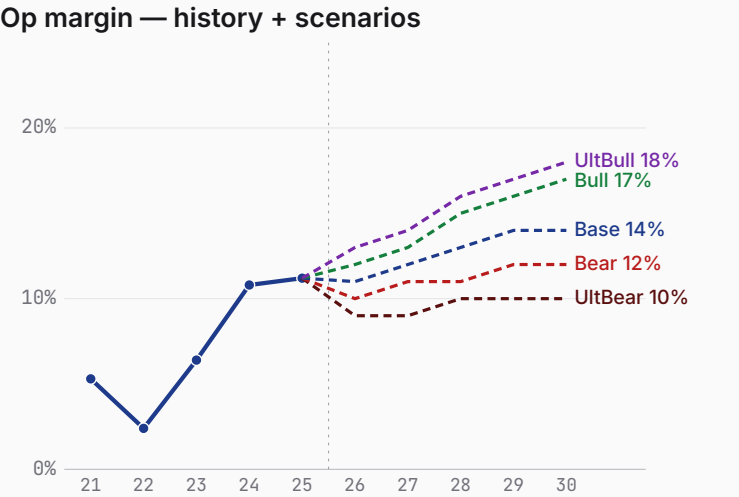
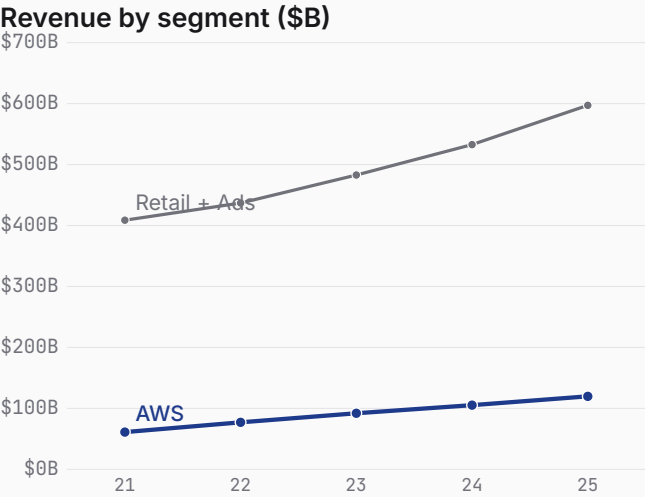
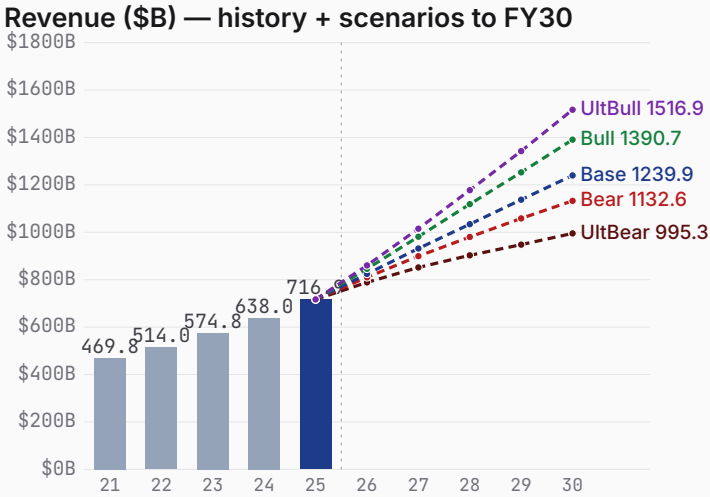
Ultra Bear 12% Bear 26% Base 34% Bull 20% Ultra Bull 8% · Weighted expected \$222.01 (-10.3% vs spot)

| ULTRA BEAR                                                                                                                                                                                                                                                                                                                                                                | \$59.20        | BEAR                                                                                                                                                                                                                                                                                                                                        | \$118.75       | BASE                                                                                                                                                                                                                                                                                                     | \$209.08       | BULL                                                                                                                                                                                                                                                                                                                     | \$369.75       | ULTRA BULL                                                                                                                                                                                                                                                                 | \$487.39       |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|
|                                                                                                                                                                                                                                                                                                                                                                           | -76.1% vs spot |                                                                                                                                                                                                                                                                                                                                             | -52.0% vs spot |                                                                                                                                                                                                                                                                                                          | -15.5% vs spot |                                                                                                                                                                                                                                                                                                                          | +49.4% vs spot |                                                                                                                                                                                                                                                                            | +96.9% vs spot |
| Probability 12%                                                                                                                                                                                                                                                                                                                                                           |                | Probability 26%                                                                                                                                                                                                                                                                                                                             |                | Probability 34%                                                                                                                                                                                                                                                                                          |                | Probability 20%                                                                                                                                                                                                                                                                                                          |                | Probability 8%                                                                                                                                                                                                                                                             |                |
| AI overbuild; FCF stays trough-bound.                                                                                                                                                                                                                                                                                                                                     |                | AWS holds; FCF recovers slowly.                                                                                                                                                                                                                                                                                                             |                | AWS reaccelerates; FCF normalizes to ~11%.                                                                                                                                                                                                                                                               |                | AI ROIC compounds; margin re-rates.                                                                                                                                                                                                                                                                                      |                | AWS AI platform; full re-rate.                                                                                                                                                                                                                                             |                |
| WHY 12%                                                                                                                                                                                                                                                                                                                                                                   |                | WHY 26%                                                                                                                                                                                                                                                                                                                                     |                | WHY 34%                                                                                                                                                                                                                                                                                                  |                | WHY 20%                                                                                                                                                                                                                                                                                                                  |                | WHY 8%                                                                                                                                                                                                                                                                     |                |
| The structural-overbuild case: capex jumped +77% YoY with a 6-24 month monetization lag, the FTC Buy-Box trial opens Oct 2026, and International OI is already declining. 12% weight on the build failing to earn its cost of capital.                                                                                                                                    |                | AWS keeps share but the capex digestion period drags FCF recovery, with the antitrust and International-margin overhangs intact. 26% as the plausible 'grows but cash conversion lags' path.                                                                                                                                                |                | Requires AWS to hold high-20s% growth and FCF to normalize off the trough as the build monetizes - consistent with the +28% print, Trainium sold-out demand, and the capex peaking, but not a step-change. 34% as the central, near-fair outcome.                                                        |                | AWS AI demand sustains the growth, Trainium defends/expands margins, and the capex converts to high-ROIC capacity rather than overbuild - the demonstrated AWS franchise plus custom silicon make it credible. 20% weight on the AI infrastructure earning its return.                                                   |                | Everything works - AWS AI platform leadership AND Trainium margin expansion AND advertising AND retail leverage AND a multiple re-rate, the AWS/Starlink-class compounding outcome. ~8%, the long-duration tail.                                                           |                |
| WHAT HAPPENS                                                                                                                                                                                                                                                                                                                                                              |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                                                                |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                             |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                                             |                | WHAT HAPPENS                                                                                                                                                                                                                                                               |                |
| The ~\$200B capex never earns its cost of capital: AI demand cools or commoditizes, AWS growth fades back toward the teens, depreciation outruns monetization, and an FTC/EU overhang drags. FCF margin barely lifts off the ~1% FY25 trough toward 5% as the build keeps absorbing cash. Revenue still compounds ~6% on retail/ads but operating margin stalls near 10%. |                | AWS grows but decelerates off the +28% print, capex stays elevated for several years, and depreciation keeps a lid on margins, so FCF margin claws only partway back toward 8%. Retail and advertising keep expanding but can't fully offset the AI-infrastructure drag. Revenue compounds ~9% to ~\$1.1T at a still-suppressed FCF margin. |                | The modal path: AWS sustains high-20s% growth on AI demand, Trainium economics defend its ~38% margin, the capex wave peaks and FCF margin normalizes off the trough toward ~11% as the build monetizes, while retail margins (NA 9.0%) and ~\$70B advertising scale. Revenue compounds ~11% to ~\$1.2T. |                | The AI capex earns a high return: AWS holds high-teens-to-20s% growth with triple-digit AI revenue, Trainium vertical integration lifts AWS margins above 38%, retail/ads operating leverage compounds, and FCF margin inflects toward ~14% as monetization catches the depreciation. Revenue compounds ~14% to ~\$1.4T. |                | The full second act: AWS becomes the dominant AI-compute platform on Trainium economics, advertising scales into a third profit engine, retail margins keep climbing, and Amazon re-rates to a high-FCF-margin platform at ~16% margin. Revenue compounds ~16% to ~\$1.5T. |                |
| An overbuilt hyperscaler whose capital doesn't convert earns a low-growth ~15x terminal FCF multiple → DCF ~\$59 (-75%). The net cash sets a floor, but a stranded-asset AI build cannot be discounted away.                                                                                                                                                              |                | DCF ~\$119 (-50%) - a hyperscaler whose free cash flow lags its revenue while it digests a multi-year build is worth well below today's price; the market's capex worry is warranted if FCF recovers only slowly.                                                                                                                           |                | DCF ~\$209 (-12%) - roughly fair-to-slightly-rich. AWS reacceleration and a normalizing FCF margin are genuinely valuable, but at the modal recovery and a ~21x terminal FCF multiple the model lands just below today's price; the capex still has to earn its return for spot to be fair.              |                | DCF ~\$370 (+55%) - if the ~\$200B build clearly earns its cost of capital, the FCF normalization plus an AI-platform margin re-rate carry the stock well above spot; this is the core of the bull.                                                                                                                      |                | DCF ~\$487 (+104%) - the AI-infrastructure bet pays off in full and the FCF machine re-rates to a platform multiple; ~8% probability, the asymmetric upside the trough FCF is masking.                                                                                     |                |

Amazon.com business snapshot

Bear \$118.75 Base \$209.08 Bull \$369.75

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end Dec · Q1 2026 results



Sources: SEC XBRL company facts (CIK 1018724; revenue, GAAP operating income/margin, cash flow, debt), Amazon Q1 2026 release (net sales \$181.5B +17%, AWS \$37.6B +28% at ~37.7% margin, consolidated op margin 13.1% record, capex \$44.2B +77%, ~\$200B FY2026 capex guide, advertising ~\$70B annualized). Revenue modeled as a growth path off FY25; FCF = revenue x FCF margin; Gordon terminal at scenario WACC. EV/sales & EV/FCF vs MSFT/GOOGL.

# Amazon.com 7 Powers · the moat, scored

Bear \$118.75 Base \$209.08 Bull \$369.75

**Arena.** Cloud infrastructure + e-commerce/advertising - Amazon (AWS cloud leader, the largest US marketplace, fast-growing ad business) vs Microsoft Azure, Google Cloud, and retail rivals Walmart/Shopify; auditing scale, switching, and network Powers against a ~\$200B AI capex bet and an FTC trial.

**POWER AUDIT**  
dominant-power durability: high

POWER AUDIT · 7 POWERS

|                                                                                            |                                                                                                                                                                                            |
|--------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Scale Economies</b><br><div><div></div><div></div><div></div></div>                     | Strong: AWS infrastructure scale + Trainium vertical integration lower unit cost; fulfillment/logistics scale across the largest US marketplace - a genuine, compounding cost advantage.   |
| <b>Network Economies</b><br><div><div></div><div></div><div></div></div>                   | The marketplace two-sided network (more buyers → more sellers → more selection) is real and self-reinforcing, though weaker than a pure social network and contestable by Walmart/Shopify. |
| <b>Counter-Positioning</b><br><div><div></div><div></div><div></div></div>                 | Was the e-commerce disruptor; now the incumbent - little counter-positioning left, and AWS faces well-capitalized Azure/GCP, not a slow legacy.                                            |
| <b>Switching Costs</b> · thesis leans here<br><div><div></div><div></div><div></div></div> | High in AWS: embedded workloads, data gravity, committed-spend contracts, and re-architecture cost make migration painful - the stickiest Power, the AWS retention moat.                   |
| <b>Branding</b><br><div><div></div><div></div><div></div></div>                            | Trust/convenience (Prime) is a real consumer asset, but cloud is bought on price/performance, not brand; modest as a pricing Power.                                                        |
| <b>Cornered Resource</b><br><div><div></div><div></div><div></div></div>                   | Custom silicon (Trainium) + Prime membership + first-party logistics are valuable and hard to copy, but not uniquely cornered against Azure/GCP/Walmart.                                   |
| <b>Process Power</b><br><div><div></div><div></div><div></div></div>                       | Decades of logistics/operations and cloud-operations learning curves (fulfillment, AWS reliability, custom hardware) are a real, hard-to-replicate process advantage.                      |

COMPETITIVE READ

Amazon's Powers are genuine and durable: AWS switching costs (data gravity, committed spend) are the stickiest, layered on scale (AWS infrastructure + Trainium, fulfillment) and a self-reinforcing marketplace network. The Audit: switching\_costs is the dominant, high-durability Power - hard for Azure/GCP to dislodge - but the live threat is the ~\$200B AI-capex bet and whether AWS AI demand earns its cost of capital before rivals erode growth. That squares with the DCF: the franchise isn't in question, the return on the build is, and the modal case lands ~-12% (roughly fair) because spot already assumes the capex monetizes and FCF normalizes off the FY25 trough.

PEER SET

|                                                                                                                                         |                                |
|-----------------------------------------------------------------------------------------------------------------------------------------|--------------------------------|
| <b>Microsoft (Azure)</b><br>The #1 cloud rival; Azure + OpenAI is the AWS AI-compute benchmark and the main switching-cost threat.      | 16% gr · 45% mgn · ~35x EV/FCF |
| <b>Alphabet (Google Cloud)</b><br>#3 cloud growing fast with a full AI stack/TPUs; pressures AWS growth and margins on AI workloads.    | 13% gr · 32% mgn · ~25x EV/FCF |
| <b>Walmart</b><br>Largest US retailer; scaled e-commerce + advertising + marketplace - the network/scale challenger on the retail side. | 5% gr · 4% mgn · ~35x P/E      |
| <b>Shopify</b><br>Arms the long tail of independent merchants against the Amazon marketplace; the network-economies pressure on retail. | 25% gr · 12% mgn · ~60x EV/FCF |

THREAT VECTORS · FALSIFIERS

|                                                                                                                                                                                                                                      |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Switching Costs</b> · Microsoft Azure / Google Cloud (AI workloads)<br><b>falsifier:</b> AWS growth decelerates back toward the teens as AI workloads shift to Azure/GCP, signaling the migration cost is being overcome.         |
| <b>Network Economies</b> · Walmart + Shopify (marketplace)<br><b>falsifier:</b> US marketplace/seller share erodes as Walmart's network and Shopify's merchant base take third-party GMV.                                            |
| <b>Scale Economies</b> · AI capex overbuild / FTC antitrust<br><b>falsifier:</b> FCF fails to recover off the trough for 2+ years, or the Oct-2026 FTC Buy-Box trial forces structural marketplace changes that dent unit economics. |

Amazon.com show your work

Bear \$118.75 Base \$209.08 Bull \$369.75 · Weighted \$222.01 (-10.3%)

| ULTRA BEAR                                |          |          |          |        | \$59.20   | BEAR                                      |          |          |          |        | \$118.75   | BASE                                      |          |          |            |        | \$209.08   | BULL                                      |          |            |            |         | \$369.75   | ULTRA BULL                                |            |            |            |         | \$487.39   |          |            |            |            |         |  |
|-------------------------------------------|----------|----------|----------|--------|-----------|-------------------------------------------|----------|----------|----------|--------|------------|-------------------------------------------|----------|----------|------------|--------|------------|-------------------------------------------|----------|------------|------------|---------|------------|-------------------------------------------|------------|------------|------------|---------|------------|----------|------------|------------|------------|---------|--|
| ASSUMPTIONS                               |          |          |          |        |           | ASSUMPTIONS                               |          |          |          |        |            | ASSUMPTIONS                               |          |          |            |        |            | ASSUMPTIONS                               |          |            |            |         |            | ASSUMPTIONS                               |            |            |            |         |            |          |            |            |            |         |  |
| 5y revenue CAGR (%)                       |          |          |          |        | +6.8      | 5y revenue CAGR (%)                       |          |          |          |        | +9.6       | 5y revenue CAGR (%)                       |          |          |            |        | +11.6      | 5y revenue CAGR (%)                       |          |            |            |         | +14.2      | 5y revenue CAGR (%)                       |            |            |            |         | +16.2      |          |            |            |            |         |  |
| Year-5 op margin (%)                      |          |          |          |        | 10.0      | Year-5 op margin (%)                      |          |          |          |        | 12.0       | Year-5 op margin (%)                      |          |          |            |        | 14.0       | Year-5 op margin (%)                      |          |            |            |         | 17.0       | Year-5 op margin (%)                      |            |            |            |         | 18.0       |          |            |            |            |         |  |
| WACC (%)                                  |          |          |          |        | 9.5       | WACC (%)                                  |          |          |          |        | 9.0        | WACC (%)                                  |          |          |            |        | 8.5        | WACC (%)                                  |          |            |            |         | 8.0        | WACC (%)                                  |            |            |            |         | 7.8        |          |            |            |            |         |  |
| Terminal growth (%)                       |          |          |          |        | 2.5       | Terminal growth (%)                       |          |          |          |        | 3.0        | Terminal growth (%)                       |          |          |            |        | 3.5        | Terminal growth (%)                       |          |            |            |         | 4.0        | Terminal growth (%)                       |            |            |            |         | 4.0        |          |            |            |            |         |  |
| 5y revenue CAGR (%)                       |          |          |          |        | +6.8      | 5y revenue CAGR (%)                       |          |          |          |        | +9.6       | 5y revenue CAGR (%)                       |          |          |            |        | +11.6      | 5y revenue CAGR (%)                       |          |            |            |         | +14.2      | 5y revenue CAGR (%)                       |            |            |            |         | +16.2      |          |            |            |            |         |  |
| Starting revenue (\$B)                    |          |          |          |        | 716.90    | Starting revenue (\$B)                    |          |          |          |        | 716.90     | Starting revenue (\$B)                    |          |          |            |        | 716.90     | Starting revenue (\$B)                    |          |            |            |         | 716.90     | Starting revenue (\$B)                    |            |            |            |         | 716.90     |          |            |            |            |         |  |
| Scenario probability (%)                  |          |          |          |        | 12        | Scenario probability (%)                  |          |          |          |        | 26         | Scenario probability (%)                  |          |          |            |        | 34         | Scenario probability (%)                  |          |            |            |         | 20         | Scenario probability (%)                  |            |            |            |         | 8          |          |            |            |            |         |  |
| 5-YEAR DCF · \$B                          |          |          |          |        |           | 5-YEAR DCF · \$B                          |          |          |          |        |            | 5-YEAR DCF · \$B                          |          |          |            |        |            | 5-YEAR DCF · \$B                          |          |            |            |         |            | 5-YEAR DCF · \$B                          |            |            |            |         |            |          |            |            |            |         |  |
| FY                                        | Rev      | Margin   | FCF      | PV FCF |           | FY                                        | Rev      | Margin   | FCF      | PV FCF |            | FY                                        | Rev      | Margin   | FCF        | PV FCF |            | FY                                        | Rev      | Margin     | FCF        | PV FCF  |            | FY                                        | Rev        | Margin     | FCF        | PV FCF  |            | FY       | Rev        | Margin     | FCF        | PV FCF  |  |
| FY26                                      | 788.59   | +9%      | +15.77   | +14.40 |           | FY26                                      | 810.10   | +10%     | +24.30   | +22.30 |            | FY26                                      | 824.43   | +11%     | +32.98     | +30.39 |            | FY26                                      | 845.94   | +12%       | +42.30     | +39.16  |            | FY26                                      | 860.28     | +13%       | +51.62     | +47.88  |            | FY26     | 881.29     | +14%       | +61.94     | +58.16  |  |
| FY27                                      | 851.68   | +9%      | +25.55   | +21.31 |           | FY27                                      | 899.21   | +11%     | +44.96   | +37.84 |            | FY27                                      | 931.61   | +12%     | +55.90     | +47.48 |            | FY27                                      | 981.29   | +13%       | +78.50     | +67.30  |            | FY27                                      | 1015.13    | +14%       | +101.51    | +87.35  |            | FY27     | 1059.07    | +15%       | +124.11    | +107.95 |  |
| FY28                                      | 902.78   | +10%     | +36.11   | +27.50 |           | FY28                                      | 980.14   | +11%     | +58.81   | +45.41 |            | FY28                                      | 1034.09  | +13%     | +82.73     | +64.77 |            | FY28                                      | 1118.67  | +15%       | +123.05    | +97.68  |            | FY28                                      | 1177.55    | +16%       | +153.08    | +122.20 |            | FY28     | 1252.91    | +17%       | +182.99    | +147.11 |  |
| FY29                                      | 947.92   | +10%     | +47.40   | +32.97 |           | FY29                                      | 1058.55  | +12%     | +74.10   | +52.49 |            | FY29                                      | 1137.50  | +14%     | +113.75    | +82.08 |            | FY29                                      | 1252.91  | +16%       | +162.88    | +119.72 |            | FY29                                      | 1342.41    | +17%       | +201.36    | +149.11 |            | FY29     | 1457.32    | +18%       | +211.29    | +159.04 |  |
| FY30                                      | 995.31   | +10%     | +49.77   | +31.61 |           | FY30                                      | 1132.65  | +12%     | +90.61   | +58.89 |            | FY30                                      | 1239.87  | +14%     | +136.39    | +90.70 |            | FY30                                      | 1390.74  | +17%       | +194.70    | +132.51 |            | FY30                                      | 1516.92    | +18%       | +242.71    | +166.72 |            | FY30     | 1667.81    | +19%       | +252.64    | +176.65 |  |
| Σ PV explicit FCF                         |          |          |          |        | +127.80   | Σ PV explicit FCF                         |          |          |          |        | +216.93    | Σ PV explicit FCF                         |          |          |            |        | +315.43    | Σ PV explicit FCF                         |          |            |            |         | +456.38    | Σ PV explicit FCF                         |            |            |            |         | +573.26    |          |            |            |            |         |  |
| + PV terminal (g 2.5%)                    |          |          |          |        | 462.90    | + PV terminal (g 3.0%)                    |          |          |          |        | 1010.97    | + PV terminal (g 3.5%)                    |          |          |            |        | 1877.55    | + PV terminal (g 4.0%)                    |          |            |            |         | 3445.30    | + PV terminal (g 4.0%)                    |            |            |            |         | 4562.89    |          |            |            |            |         |  |
| EQUITY BUILD · \$B & PER SHARE            |          |          |          |        |           | EQUITY BUILD · \$B & PER SHARE            |          |          |          |        |            | EQUITY BUILD · \$B & PER SHARE            |          |          |            |        |            | EQUITY BUILD · \$B & PER SHARE            |          |            |            |         |            | EQUITY BUILD · \$B & PER SHARE            |            |            |            |         |            |          |            |            |            |         |  |
| Operating EV                              |          |          |          |        | \$590.70B | Operating EV                              |          |          |          |        | \$1227.90B | Operating EV                              |          |          |            |        | \$2192.98B | Operating EV                              |          |            |            |         | \$3901.68B | Operating EV                              |            |            |            |         | \$5136.15B |          |            |            |            |         |  |
| + Cash & investments                      |          |          |          |        | \$123.00B | + Cash & investments                      |          |          |          |        | \$123.00B  | + Cash & investments                      |          |          |            |        | \$123.00B  | + Cash & investments                      |          |            |            |         | \$123.00B  | + Cash & investments                      |            |            |            |         | \$123.00B  |          |            |            |            |         |  |
| – Net debt                                |          |          |          |        | \$68.40B  | – Net debt                                |          |          |          |        | \$68.40B   | – Net debt                                |          |          |            |        | \$68.40B   | – Net debt                                |          |            |            |         | \$68.40B   | – Net debt                                |            |            |            |         | \$68.40B   |          |            |            |            |         |  |
| = Equity value                            |          |          |          |        | \$645.30B | = Equity value                            |          |          |          |        | \$1282.50B | = Equity value                            |          |          |            |        | \$2247.58B | = Equity value                            |          |            |            |         | \$3956.28B | = Equity value                            |            |            |            |         | \$5190.75B |          |            |            |            |         |  |
| FY30 shares (M)                           |          |          |          |        | 10,900    | FY30 shares (M)                           |          |          |          |        | 10,800     | FY30 shares (M)                           |          |          |            |        | 10,750     | FY30 shares (M)                           |          |            |            |         | 10,700     | FY30 shares (M)                           |            |            |            |         | 10,650     |          |            |            |            |         |  |
| = Expected per share                      |          |          |          |        | \$59.20   | = Expected per share                      |          |          |          |        | \$118.75   | = Expected per share                      |          |          |            |        | \$209.08   | = Expected per share                      |          |            |            |         | \$369.75   | = Expected per share                      |            |            |            |         | \$487.39   |          |            |            |            |         |  |
| FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |          |          |          |        |           | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |          |          |          |        |            | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |          |          |            |        |            | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |          |            |            |         |            | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |            |            |            |         |            |          |            |            |            |         |  |
| +5y                                       | +10y     | +15y     | +20y     |        |           | +5y                                       | +10y     | +15y     | +20y     |        |            | +5y                                       | +10y     | +15y     | +20y       |        |            | +5y                                       | +10y     | +15y       | +20y       |         |            | +5y                                       | +10y       | +15y       | +20y       |         |            | +5y      | +10y       | +15y       | +20y       |         |  |
| \$93.19                                   | \$146.71 | \$230.96 | \$363.58 |        |           | \$182.71                                  | \$281.12 | \$432.54 | \$665.52 |        |            | \$314.38                                  | \$472.73 | \$710.82 | \$1,068.83 |        |            | \$543.28                                  | \$798.26 | \$1,172.91 | \$1,723.39 |         |            | \$709.53                                  | \$1,032.91 | \$1,503.69 | \$2,189.03 |         |            | \$709.53 | \$1,032.91 | \$1,503.69 | \$2,189.03 |         |  |
| 0.38×                                     | 0.59×    | 0.93×    | 1.47×    |        |           | 0.74×                                     | 1.14×    | 1.75×    | 2.69×    |        |            | 1.27×                                     | 1.91×    | 2.87×    | 4.32×      |        |            | 2.19×                                     | 3.22×    | 4.74×      | 6.96×      |         |            | 2.87×                                     | 4.17×      | 6.07×      | 8.84×      |         |            | 2.87×    | 4.17×      | 6.07×      | 8.84×      |         |  |

Amazon.com

People · Opportunity · Context · Deal

Bear \$118.75 Base \$209.08 Bull \$369.75

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Andy Jassy

5 yrs in seat

9%

insider ownership

MEDIUM

key-person risk

**Capital allocation (realized)**  
No dividend ever paid; the sole return program is a \$10B buyback authorization (March 2022, no expiration) that has gone largely unused — ~\$6.1B still remaining in 2025, no repurchases in the quarters ended March 2024 or 2025. Cash is reinvested instead: FY2025 capex \$128.3B (vs \$77.7B FY2024, the step driven by AI/AWS infrastructure), ~\$200B guided for FY2026; D&A \$41.9B FY2025. SBC \$19.5B FY2025 (down ~12% YoY). M&A: MGM (\$8.5B, closed Mar 2022), One Medical (\$3.9B, closed Feb 2023); the iRobot deal was terminated Jan 2024 (\$94M break fee paid).

**Incentive alignment**  
No new annual equity grant — no RSU award since 2021. Pay rests on a single 10-year grant made when he became CEO in 2021 (originally valued ~\$212M), vesting through 2031 on a fixed schedule regardless of stock performance. FY2024 realized comp ~\$40.1M (that grant vesting plus stock appreciation); the FY2025 Summary Comp Table figure was ~\$2.1M (base ~\$365K plus security/travel) since no new award was made. Heavily equity-front-loaded, time-based.

GOVERNANCE    FLAGS

- single-class common stock (one share, one vote) — no dual-class / super-voting, a structural positive vs the dual-class mega-cap peers
- founder Jeff Bezos is Executive Chair (stepped down as CEO July 2021); Chair and CEO roles are split
- Bezos beneficially owns ~9% — fell below 10% for the first time in 2025 via scheduled sales
- Jamie Gorelick is lead independent director; majority-independent board

PEOPLE    READ

Andy Jassy has been CEO since July 2021 and founder Jeff Bezos is Executive Chair holding ~9%, on a clean single-class one-share-one-vote register with a split Chair/CEO structure and a lead independent director; capital is directed to reinvestment (FY2025 capex \$128.3B, ~\$200B guided 2026) over capital return — no dividend and a largely-unused buyback.

THE FOUR LEGS

People

observable composite · 1–5

Opportunity

The scenario distribution · the Page-3 business snapshot · the Arthur Indicator

Context

The 7 Powers analysis (Power Audit)

Deal

Open-market purchase = the deal: entry price vs. the scenario distribution (the -6.9% finding) + position sizing.

Amazon.com supporting analysis · disclaimers · glossary

Bear \$118.75 Base \$209.08 Bull \$369.75

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

**The FCF multiple is distorted by the capex trough.**  
FY25 FCF was crushed to ~\$7.7B (from ~\$33B in FY24) by the ~\$200B build; the DCF prices the recovery off the trough, not the depressed print - that's why the multiple looks extreme.
- 2

**AWS reaccelerating is the whole bull.**  
AWS +28% (fastest in 15 quarters) at ~\$150B run-rate and ~37.7% margin, with triple-digit AI revenue growth - the question is whether that demand justifies the depreciation.
- 3

**Trainium is the margin defense.**  
Custom silicon (Trainium/Graviton/Nitro) is >\$20B run-rate with ~\$225B commitments and Trainium2 sold out - vertical integration lowers AI cost and defends AWS margins as the build scales.
- 4

**Advertising is a high-margin third engine.**  
~\$70B annualized and growing fast, structurally high-margin - it scales operating income independent of the AWS capex cycle.
- 5

**The swing is AWS AI ROIC, not solvency.**  
~\$54B net cash and a record 11.2% op margin mean no balance-sheet risk; the downside is whether ~\$200B/yr of capex earns its cost of capital, not survival.

FALSIFICATION TRIGGERS

|                                                                                                                                                                                                              |                                                                                                                                                                                                        |                                                                                                                                                                                                                  |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Bull validation</b><br>AWS growth holds high-20s% with expanding margin · FCF margin recovers off the ~1% trough toward 10%+ · Trainium commitments convert to revenue · advertising sustains 20%+ growth | <b>Bear validation</b><br>AWS growth decelerates back toward the teens · capex keeps rising while FCF stays trough-bound · depreciation compresses AWS margin below ~35% · adverse FTC/EU cloud ruling | <b>Reframe needed</b><br>if AWS AI demand cools or commoditizes and the ~\$200B build becomes a visible overbuild (FCF fails to recover 2+ years), re-rate the terminal toward a low-ROIC capital-heavy multiple |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

DISCLAIMERS · PLEASE READ BEFORE USING THIS DOCUMENT

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

|                                                                                                                                                                                                                                |                                                                                                                                                                                                                          |                                                                                                                                                                                                          |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>AWS</b> — Amazon Web Services - the cloud-infrastructure segment (~\$150B run-rate, ~38% operating margin, ~16-17% of revenue but the majority of operating income); reaccelerated to +28% on AI demand, the central swing. | <b>Capex / AI infrastructure</b> — Capital expenditure on AI data centers and chips (~\$200B guided FY26, ~+50% YoY); the cash drag that crushed FY25 FCF, with a 6-24 month lag to monetization - the bear's mechanism. | <b>Trainium</b> — Amazon's custom AI training silicon (with Graviton/Nitro, >\$20B run-rate, ~\$225B commitments, Trainium2 sold out); vertical integration that lowers AI cost and defends AWS margins. |
| <b>AI ROIC</b> — Whether the ~\$200B/yr AI-infrastructure build earns its cost of capital; the biggest 5-year swing factor.                                                                                                    | <b>FCF margin</b> — Free cash flow / revenue (~1% in FY25 at the capex trough vs ~5% in FY24); the bet is recovery off the trough.                                                                                       |                                                                                                                                                                                                          |